LEARNING CENTRE

HOW WELL IS MY INVESTMENT DOING?

There are many ways to measure the return on your investments. It pays to understand which method is being used to review your investment performance

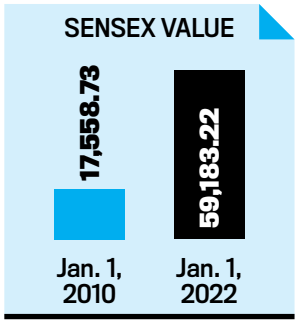


Illustration by SIDDHANT JUMDE

When it comes to investing, people are besotted by the performance of the investment. Yet many investors grapple with making sense of the different types of returns that the same investment indicates and how their investment has fared. For instance, what if the 10-year rolling return from the S&P BSE Sensex on January 1, 2022 was 14.32 per cent, while on the same day the 1-year return was 23.64 per cent? The same instrument, on the same day, indicating two different performance indicators—which can be quite confusing. Let us look at the different types of returns and what it means to your investments. ■

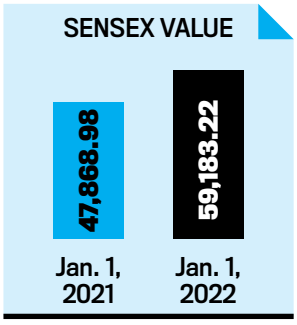
–Narayan Krishnamurthy

ABSOLUTE RETURN: This simple return indicates the return your investment earns on the initial investment. The absolute return on the Sensex between January 1, 2010 and January 1, 2022 works out to 237% {(59,183.22–17,558.73)/ 17,558.73x100}. There are many investors who would be ecstatic with this kind of return.



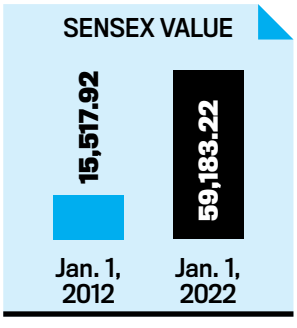
Often, investment in real estate is expressed based on absolute return and it seems to be a lot higher and lucrative, which is just one side of the story. However, an aspect that the simple absolute return misses out is that it ignores the time period between the investment and the time when one calculates the returns.

ANNUAL RETURN: This type of return measures the investment's performance from the beginning to the end of the year. For instance, the average annual return on BSE Sensex between Jan. 1, 2021 and Jan. 1, 2022 works to 23.64% {(59,183.22–47,868.98)/47,868.98 X 100}.



The annual performance of any investment is a useful indicator to know how the investment has fared in that particular year. However, it doesn't delve into the performance of the investment in between these two dates.

ANNUALISED RETURN: Also known as CAGR (Compound Annual Growth Rate), it is the measure of an investment's annual growth rate over time, with the effect of compounding taken into account. It is often used to measure and compare the past performance of investments–and is again often used as an indicator of future returns. In reality, people do not invest for a year; they invest for different time periods. And, to compare the returns on such investments with a one-year return, one needs to annualise them.



The rate of return per year, measured over a period either longer or shorter than a year, is known as the annualised return. For instance, the 10-year annualised return of Sensex from January 1, 2012 to January 1, 2022 works out to 14.32%.

Annualised return is useful to compare the performance of two or more investments over the same time period. Annualised return can also show you which investment of yours did better than the others and help you decide which investment to stay with and which one to exit.

NEXT MONTH: Learn about Rolling Returns, Trailing Returns and IRR

Data source: BSE